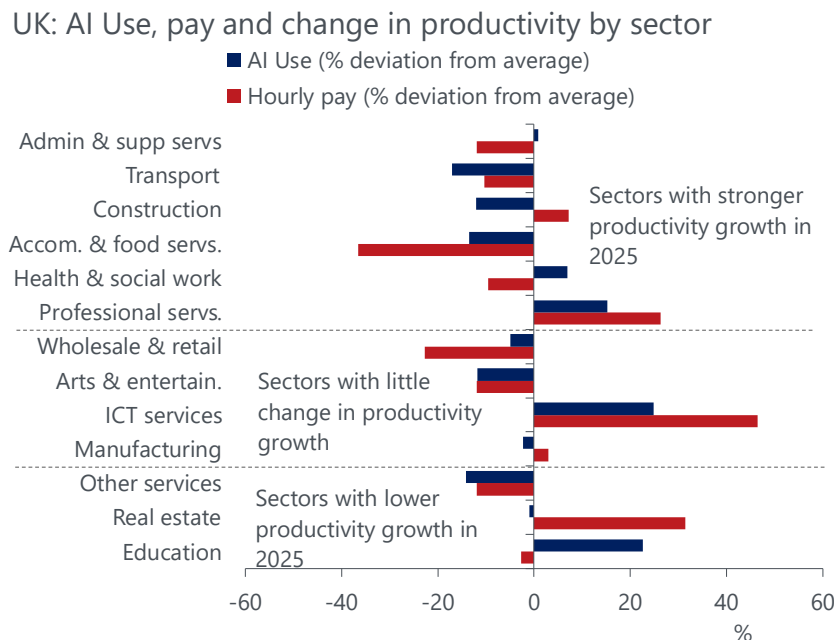


Research Briefing | UK

Productivity may be picking up – but not in a good way

- There are signs that productivity growth may be picking up, but this is unlikely to signal a sustained rise in the UK's modest medium-term growth trend.
- The hints of higher productivity growth appear to chiefly reflect job losses in low-pay sectors and are probably caused by the hikes in employers' National Insurance Contributions and the National Living Wage.
- However, as well as lifting aggregate productivity through a 'batting average' effect, these developments are also likely to lead to higher structural unemployment and lower workforce participation. Recent data already show marked increases in unemployment among younger people and in long-term unemployment.
- Overall, indications that productivity is rising don't seem to reflect rising use of AI or higher business investment. Use of AI by UK firms has expanded over the last two years, but apart from one or two sectors the recent pickup in productivity growth has been greater in sectors with relatively low AI adoption. Likewise, business investment has remained low in sectors with higher productivity growth.
- For now, the UK remains stuck in a low-growth rut, especially given the possibility that net inward migration will stay relatively low in coming years.

Chart 1: The recent pickup in productivity has been mainly concentrated in low-pay sectors



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Alternative employment data suggest productivity growth has picked up

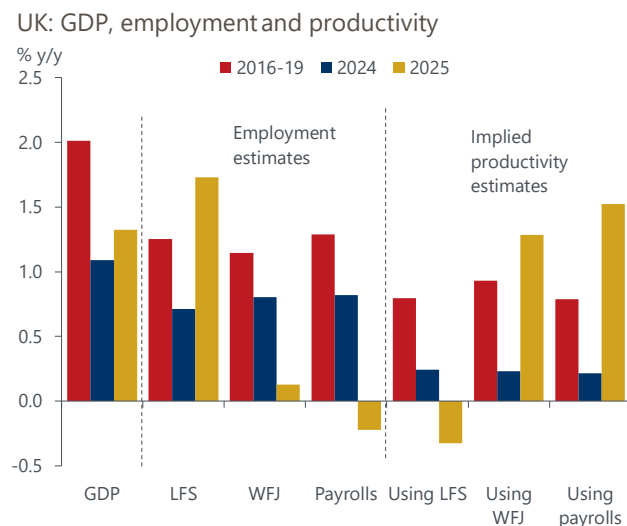
Official data suggest productivity growth remains lacklustre. [Output per head](#) fell 0.2% y/y in Q4 2025 and was slightly below the average level since Q1 2022. However, these figures compare GDP with employment estimates from the ONS Labour Force Survey, which shows rapid growth in employment and workforce participation in 2025. The LFS has had well-publicised measurement problems in recent years, especially from low response rates.

[Response rates for the LFS are now higher](#), and hence the current levels of employment, unemployment, and so forth may be genuine. But the apparent marked rise in participation, labour supply and employment from a year ago may be incorrect. Moreover, the LFS still uses outdated population weights. The [ONS has already noted](#) that updated population estimates are likely to show slower job growth than in the current data, which (assuming no revisions to the GDP data) would imply slightly higher productivity growth.

Given this, we put little weight on the ONS figures for employment growth at present, which means the official productivity data also are unreliable. Other official data sources suggest that employment growth has been weak over the last year. For example, the ONS workforce jobs (WFJ) data suggest employment rose 0.1% y/y on average in Q1-Q3 2025 (and fell 0.3% y/y in Q3 2025). The HMRC payroll data show employee numbers down 0.2% y/y in 2025 as a whole (and down 0.4% y/y in Q4 2025).

So these employment measures suggest that output per worker is rising relatively rapidly, well above the pre-pandemic pace. Using the WFJ data, output per worker rose 1.3% y/y in Q1-Q3 2025, versus averages of 0.9% y/y for 2016-2019 and 0.2% y/y for 2024. Using the HMRC payroll data, output per worker rose 1.5% y/y in 2025, versus averages of 0.8% y/y for 2016-2019 and 0.2% for 2024. For all of 2025, the growth of output per worker was 0.4ppts above the 2016-2019 average using the WFJ data (based on data for Q1-Q3) and 0.7ppts above it using the payroll data. Moreover, the WFJ data point to rising productivity growth through the year, with output per worker up 1.1% y/y in Q1, 1/2% y/y in Q2, and 1.5% y/y in Q3. So when the Q4 data become available in March the full year figure for 2025 may exceed our estimate.

Chart 2: Differing employment measures give very different signals at present



Source: Oxford Economics/Haver Analytics

To be sure, there are still uncertainties over these alternative productivity estimates. The payroll data omit the self-employed, and so productivity growth estimates based on the payroll data implicitly assume that self-employment has been a stable share of total employment, which may not be correct. This factor should not affect the WFJ data, which include the self-employed. In addition, both these employment measures are often revised over time.

However, other guides (e.g. vacancies, surveys of firms' hiring intentions) also suggest that job growth is weak – a view the [MPC also shares](#). Overall, we suspect the message from these figures (weak job growth, some pickup in productivity) is more likely to be broadly correct than the figures based on the LFS (strong job growth, very weak productivity).

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Which sectors may be seeing higher productivity growth?

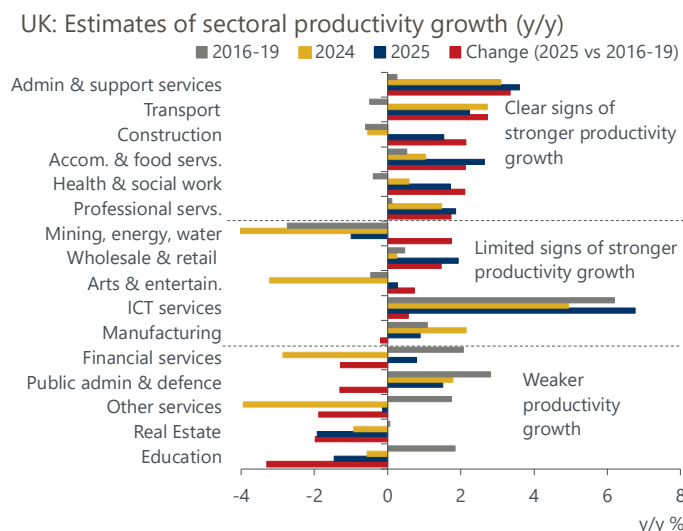
The pickup in productivity growth doesn't appear to be even across sectors (**Chart 3**; excludes agriculture). Using productivity estimates based on the average of employment growth in the payroll data and WFJ data, the economy splits into three groups of broadly similar size.

First, there's been a clear productivity pickup in six main sectors of the economy: human health and social work, accommodation and food services, construction, transport and storage, administrative and support services, professional and technical services. In these sectors, productivity (i.e. output per worker) growth in 2025 appears to have risen markedly (by at least 1.5ppts) compared to the 2016-2019 average. Moreover, none of these sectors experienced exceptionally weak productivity growth in 2024, which might have produced a temporary rebound in productivity in 2025. Together these sectors accounted for about 35% of overall GDP in 2025.

In the second group are the productivity laggards, five sectors in particular: education, real estate services, financial services, public administration and defence, and miscellaneous 'other services'. In these sectors, productivity growth in 2025 weakened compared to 2016-2019 by at least 1ppt, and also undershot the 2016-2019 average in 2024. These sectors accounted for 34% of GDP in 2025.

The remaining sectors show little clear change either way: wholesale and retail, manufacturing, arts and entertainment, ICT services, agriculture, and mining, energy and water. These sectors, which together account for 31% of the economy, either saw a smaller increase in productivity growth in 2025 compared to 2016-2019 than the first group (e.g. ICT services), or experienced weak productivity growth in 2024 but not 2025 (e.g. mining, energy and water), or saw slightly stronger productivity growth in 2024 but weaker in 2025 (e.g. manufacturing). Note that productivity growth in ICT services remained high throughout, but didn't strengthen in 2024-2025 compared to 2016-2019.

Chart 3: The apparent productivity pickup is not evenly spread across sectors



Source: Oxford Economics/Haver Analytics

If productivity growth has picked up, what's driving it?

If, as seems likely, productivity growth has picked up recently, the main cause is probably the sharp rises in costs for low-pay workers caused by the hikes in employers' National Insurance Contributions and the National Living Wage, rather than higher investment or rising AI use.

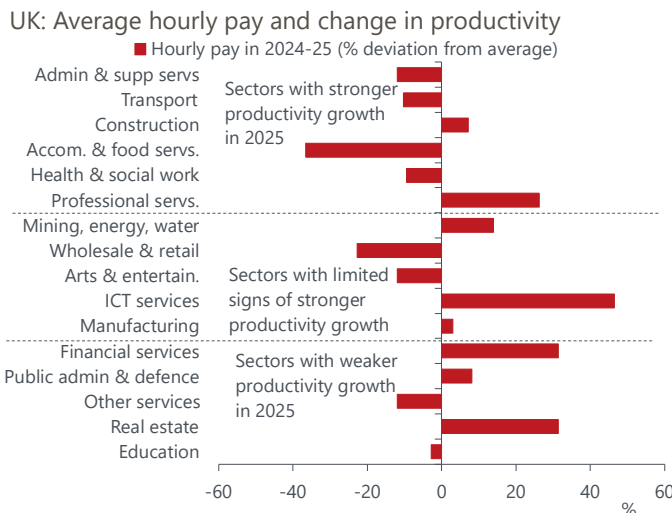
1. Clear link from increases in NICS and NLW

Many firms have been unable to fully pass on the extra costs from NICS and the NLW to prices, and hence some low-paid jobs are no longer economically viable. Business surveys suggest that firms' labour costs have risen rapidly since late-2024. The [BoE Decision Maker Panel](#) survey suggests that a sizeable share of firms have responded to these cost pressures by cutting jobs, and the payroll data and WFJ data both suggest that employment has fallen sharply in low-pay sectors.

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Of the six sectors with a clear pickup in productivity growth, all except construction and professional services have relatively low pay levels (i.e. below the UK average for all workers; see [Chart 4](#)). Average hourly pay (employment weighted) in these six sectors is 6% below the UK average for all workers. Among the four sectors with the biggest productivity improvements, hourly pay is 15% below the UK average. Conversely, in the sectors with productivity growth in 2025 well below the 2016-2019 average, hourly pay is 7% above the average for all workers.

Chart 4: The apparent productivity pickup is mainly in low-pay sectors

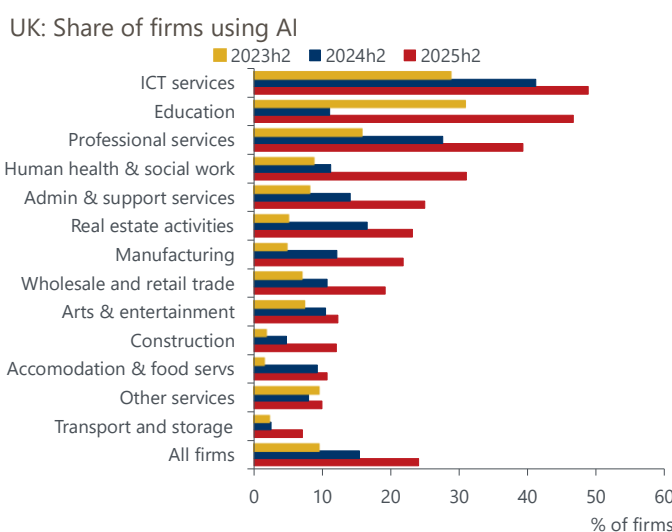


Source: Oxford Economics/Haver Analytics

2. AI use is rising, but is not closely linked to higher productivity growth

Adoption of AI among firms has risen markedly over the last 2-3 years. For example, the ONS [Business Insights and Conditions Survey](#) suggests that the share of firms that use AI has risen from 10% in Q4 2023 to 25% in Q4 2025 (from 12% to 29% excluding firms with 0-9 employees). This is a little above the [equivalent figure for the average across the OECD](#) (20% of firms in 2025, excluding those with 0-9 employees).

Chart 5: AI use has risen rapidly among UK firms over the last couple of years



Source: Oxford Economics/Haver Analytics

There may be specific sectors or firms where this is already leading to higher productivity growth, for example professional services. Overall, however, there is a negative correlation between AI use and the change in productivity growth in 2025 from the 2016-2019 average at an industry level. In other words,

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productivity growth appears to have picked up more in sectors where AI use is relatively low rather than sectors where AI use is relatively high.

For example, the three sectors with highest AI use in H2 2025 were education, ICT services, professional, scientific and technical services. This is consistent with [international evidence](#) on the sectors in which a high share of tasks are exposed to AI. Among these sectors, average productivity growth in 2025 was slightly below the 2016-2019 average using employment weights, and unchanged using GDP weights. Conversely, the three sectors with the lowest AI use were transport, accommodation and food services, and miscellaneous other services – average productivity growth in these sectors in 2025 was 1.7ppts above the 2016-2019 average (using either employment weights or GDP weights). Among the six sectors with the clearest pickup in productivity growth compared to 2016-2019, three have relatively low AI use (i.e. below the UK average for all firms), two have above-average AI use (health and professional services), and one is around average (administrative and support services).

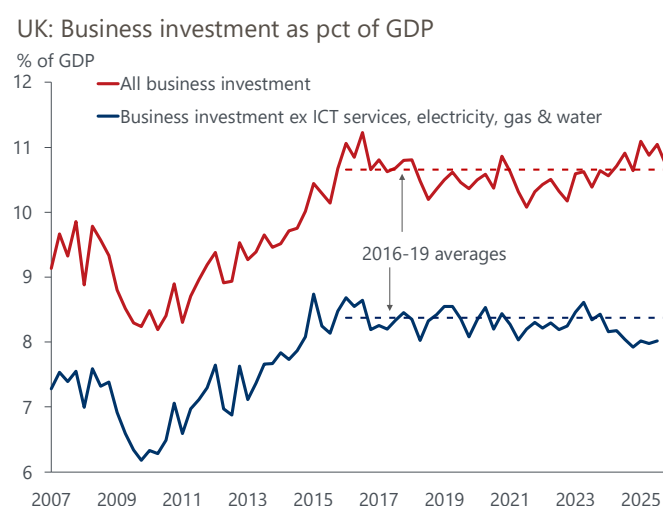
To be sure, the payroll data and WFJ data suggest that employment is weak in ICT services and unemployment has risen markedly among people who previously worked in ICT services. However, this is because output growth in that sector is relatively slow compared to historic norms rather than because productivity growth is relatively high.

Consistent with this, the ONS' business insights and conditions survey shows that among firms that use AI, only 4% say this has already led to lower headcount while 1% say it has lifted headcount, 52% say it has had no impact, and the rest don't know if it has affected headcount. If AI is going to generate major productivity gains that affect the economy's aggregates, these effects probably still lie in the future.

3. Total business investment also not a key driver

The sectoral data do not suggest that higher investment is a major cause of this apparent pickup in productivity. To be sure, business investment growth has slightly outpaced GDP growth in each year from 2022 to 2025, and in 2025 was the highest a share of GDP since 2016 (although still low by international standards). However, the split shows that recent gains in business investment have been narrowly concentrated in two sectors: ICT services and electricity, gas, and water supply. Neither sector has played much part in the recent apparent productivity pickup.

Chart 6: Signs of stronger productivity growth don't seem to be based on higher business investment



Source: Oxford Economics/Haver Analytics

Excluding these, business investment fell slightly as a share of GDP in 2025, and remains a little below the average of recent years. Among the sectors that saw the clearest improvement in productivity growth in 2025, business investment (as a share of sectoral GDP) in Q1-Q3 2025 was below the 2016-2019 averages in accommodation and food services, transport, and health, and above it in construction (it is not possible to split professional services, and administrative and support services on this basis).

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What does this mean for potential growth?

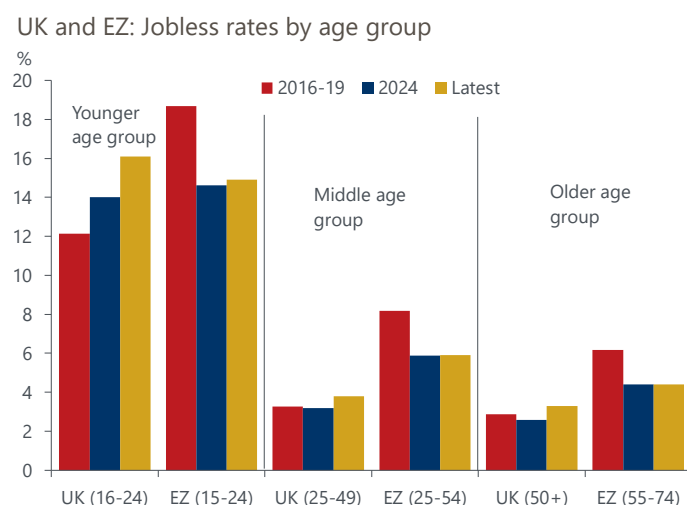
In theory, higher productivity growth would usually imply higher potential GDP growth. In particular, if productivity is picking up because of higher investment or AI use, then the resultant rise in unemployment would reflect higher extra spare capacity, with the unemployed able to return to work at current wages if demand rises. Moreover, in this scenario, unit labour costs would initially fall (because of rising productivity), hence encouraging firms to hire more staff. Rising optimism over future income gains would boost spending among firms and households. And in this scenario, it would be reasonable to expect such productivity gains to persist – implying higher future potential growth – if the drivers (investment or AI) continue to improve. However, as previously noted, this does not seem to be the main story.

By contrast, gains in productivity due to job losses in low-pay sectors caused by the hikes in NICS and the NLW are unlikely to raise potential GDP growth. It's likely to be a more painful scenario whereby rising costs and reduced wage flexibility cause firms to shed low-paid staff, thereby raising the average productivity level of those in work but also leading to higher structural unemployment. The low-paid jobs that previously existed are no longer economically viable. Assuming that the people who worked in those jobs had productivity levels that were roughly linked to their pay, these people are now effectively locked out of employment. So productivity growth rises through a 'batting average' effect, with the elimination of low-paid (and low-productivity) jobs lifting the average productivity level of those still in work. But this kind of productivity pickup is unlikely to make anyone more confident about their future incomes, and hence unlikely to lift demand.

People displaced from jobs by the cost pressures from NICS and NLW may stop looking for work, in which case workforce participation will fall. Or they may continue to look for work, in which case unemployment will remain higher. But, with pay levels in low-pay sectors constrained by the NLW and costs increased by the rise in employers' NICS, higher unemployment is unlikely to reduce pay in low-pay sectors to levels that would encourage firms to take on more staff. Moreover, employers may be reluctant to hire people who have had a long spell out of work and hence lack recent work experience. As a result, people displaced from low-paid work will probably find it harder to return to work. So structural unemployment and long-term unemployment will be higher.

For example, over the last year, the share of the workforce that has been unemployed for more than six months is up from 1.7% to 2.3% (up 0.6ppts), whereas the share unemployed for less than six months has risen only slightly from 2.7% to 2.9% (up 0.2pp). Consistent with this, in 2025, only 26% of those unemployed in one quarter moved into employment in the next quarter, the lowest since 2014 (outside the pandemic).

Chart 7: The UK jobless rate has risen especially sharply among younger people



Source: Oxford Economics/Haver Analytics

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This seems to be hitting younger people hardest, because workers in this age group tend to have relatively low pay levels and hence the hikes in NLW and NICS have caused an especially large rise in the costs of employing them. Since Q3 2022, the jobless rate for people aged 16-24 years has risen from 10.1% to 16.1%, and – for the first time since 2011 – exceeds the Eurozone average of 14.9% (note this is for people aged 15-24 years). The rise in unemployment in this age group has been similar for those in education and those not in education – it doesn't just affect students who might be looking for part-time casual work.

By contrast, unemployment rates for older age groups have risen less sharply: up by 0.9ppts since Q3 2022 for people aged 25-49 and 0.7ppts for people aged 50+. And the UK's jobless rates for 25+ age groups remain well below equivalent Eurozone figures. The gap between the UK's jobless rate for people aged 16-24 years (16.1%) and that for people aged 25+ years (3.6%) has risen to 12.5ppts from 9.5ppts on average in the last 10 years, and is the widest since 2014.

What could change things?

Currently, we don't regard the tentative signs of higher productivity growth as grounds for a more optimistic view on the UK's medium-term growth trend, especially given the prospect that sustained [low net inward migration](#) is likely to dampen labour supply growth. This could change if evidence emerges that the productivity pickup is broadening beyond low-pay sectors, or that the unemployed are able to find their way back to work, or if the government adopts a stronger pro-growth agenda (see [here](#) for some suggestions). But, for now, the UK remains stuck in a low growth rut.